‘There has been substantial progress towards ushering in GST, by far, the biggest tax reform since Independence. Since the enactment of the Constitution (One Hundred and First Amendment) Act, 2016, the preparatory work for this path-breaking reform has been a top priority for the government. In this context, several teams of officers both from the States and Central Board of Excise and Customs have been working tirelessly to give the finishing touch to the Model GST law and rules and other details. Government on its part has promptly given effect to various provisions of the Constitutional Amendment Act, including constitution of the GST Council. Since then, the GST Council held nine meetings to discuss various issues relating to GST, including broad contours of the GST rate structure, threshold exemption and parameters for composition scheme, details for compensation to States due to implementation of GST, examination of draft model GST law, draft IGST law and the Compensation Law and administrative mechanism for GST. It is my privilege to inform this august house that the GST Council has finalized its recommendations on almost all the issues based on consensus and after spirited debate and discussions. The preparation of IT system for GST is also on schedule. The extensive reach-out efforts to trade and industry for GST will start from 1 April 2017 to make them aware of the new taxation system.’

The Central Goods and Services Tax Act 2017 was notified on 12 April. All the states passed their respective state GST Acts in time for India to implement the GST system from 1 July 2017. The country moved to a very comprehensive and integrated national system of taxation of goods and services on the basis of value-added principles.

Bringing Remaining Products into the GST System

There are three commodities/classes of commodities out of the GST system: petroleum products, alcohol for human consumption and electricity duty.